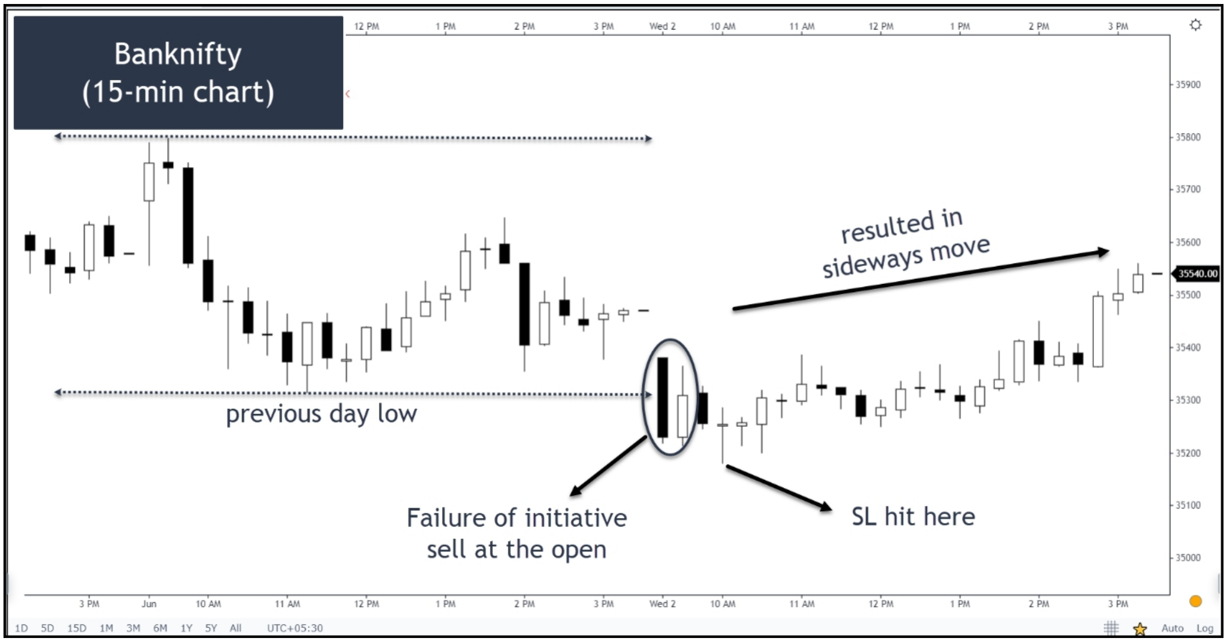


Image 5.21 – Failure of initiative sell (resulted in a sideways move)

Above image shows another example of initiative sell failure. The price opened with a gap near PDL.

But the buyers entered in the second candle, and they prevented the further fall. So, traders can plan a long trade above the high of the candle, keeping a stop-loss below the low of the candle.

However, the price has hit the stop-loss in the 4th candle itself. Hence, we should always note that the failure of IS will give slower sideways to the upside move. Therefore this system isn’t suited for naked option buyers, and it works best for option sellers.

Traders can also use the bullish patterns (as shown in image 5.8) associated with PDL to confirm the failure of initiative selling and to time their long trades.

## System 9 – First Candle Breakout System

Opening level and open action always play a crucial role in setting the direction for the day.